

M.P. Singh Foundation v. State of U.P. & Others

High Court of Judicature at Allahabad · Division Bench · 31 May 2023 (interim order; petition pending, last listed 16 May 2024) · Writ-C No. 17888 of 2023 · **No final disposition — the writ petition remains pending. By interim order dated 31.5.2023 the Division Bench framed the 'moot question' (whether the premises leased to the petitioner is the same as, or separate from, the premises against which Venus Sugar Ltd.'s dues are claimed) for decision on the pleadings, and directed that, pending that decision, if the petitioner furnishes an undertaking that the alleged outstanding dues of Venus Sugar Ltd. will be a first charge on the leased property, the department will sanction the new connection without prejudice to its pleas and contentions. Subsequent orders record disputes over the feeder type and the connection estimate; as of the last order in the record, dated 16.5.2024, the matter remained pending.**

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HEADNOTE

A pending challenge to the refusal of a new electricity connection on account of a previous consumer's dues. The petitioner, running a school on premises taken on lease from Venus Sugar Ltd., was refused a new connection because electricity dues were outstanding against Venus Sugar Ltd.; the petitioner contended that the leased open land was a separate and distinct premises from the one for which Venus Sugar Ltd. had held a connection, and offered, under Clause 4.3(f)(ii) and (iv) of the U.P. Electricity Supply Code, 2005, an undertaking that the lessor's dues would be a charge on the property. The department did not dispute that such an undertaking would safeguard its interest. Without deciding the merits, the Division Bench (order dated 31.5.2023) framed as the 'moot question' whether the premises against which the dues are claimed is the same as, or separate from, the leased premises — to be decided on the pleadings — and, pending that decision, directed that on the petitioner furnishing an undertaking that the alleged dues of Venus Sugar Ltd. will be a first charge on the leased property, the department will sanction the new connection without prejudice to its contentions. It was noted that Venus Sugar Ltd.'s objection to the underlying demand was pending decision under Clause 6.5 of the Code, the demand having been kept in abeyance. Later orders record disputes over rural vs urban/independent feeders and the connection estimate, and the petitioner's contention that a load sanction order must precede any estimate. The petition remains pending (last listed 16.5.2024); none of these issues has been finally adjudicated.

FACTUAL SUMMARY

The petitioner, M.P. Singh Foundation, runs a school on premises taken on lease from Venus Sugar Ltd. Its application for sanction of a new electricity connection was rejected by the respondent Electricity Department on the ground that electricity dues were outstanding against Venus Sugar Ltd., the lessor, in respect of the same premises. The petitioner contended that the open land leased to it was a separate and distinct premises from the one over which Venus Sugar Ltd. had held an electricity connection and against which the dues were claimed. It was not disputed that the Department had a claim for electricity dues pending against Venus Sugar Ltd.; that company had challenged the claim in Writ No. 1432 of 2023, which was disposed of with a direction to the Department to decide Venus Sugar Ltd.'s objection treating it as filed under Clause 6.5 of the U.P. Electricity Supply Code, 2005, and the demand was kept in abeyance pending that decision, which had not been taken. The petitioner offered, under Clause 4.3(f)(ii) and (iv) of the Code, an undertaking that the lessor's dues would be a charge on the property, and the Department's counsel did not dispute that such an undertaking would safeguard its interest. By order dated 31.5.2023 the Division Bench framed the moot question of premises identity for decision on the pleadings and granted the interim arrangement described above. Subsequent orders (22.11.2023 and 16.5.2024) record a dispute over whether the connection should be through a rural or urban/independent feeder and over the Department's estimates (Rs. 19,32,259 and later Rs. 1,80,46,414 for a 100 kVA independent feeder), and the petitioner's contention that the Department must first issue a load sanction order before providing an estimate. As of the last order in the record, dated 16.5.2024, the petition remained pending.

REUSABLE CONSTRUCTIONS

1. Where a new-connection applicant (e.g., a lessee) is refused supply for the outstanding dues of a previous consumer (the lessor), and the identity of the premises is disputed, the Court may, pending decision on the premises question, direct release of the new connection on the applicant's undertaking that the disputed dues be a first charge on the property, without prejudice to the licensee's contentions — the undertaking route contemplated by Clause 4.3(f) of the U.P. Electricity Supply Code, 2005. *order of 31.5.2023*

HOLDING-UNIT · UP-2005::4.3(f)**OBITER**

Interim release of a new connection to a lessee on an undertaking that the lessor's disputed dues be a first charge on the leased property, without prejudice

QUESTION

Pending determination of whether the premises leased to the applicant is the same premises against which the previous consumer's (lessor's) electricity dues are claimed, can a new connection be released to the applicant, and on what terms?

HOLDING

By interim order the Division Bench framed the moot question — whether the premises against which the dues are alleged is the same as, or separate and distinct from, the premises leased to the petitioner — as one to be decided on the pleadings, and posted it for decision. Pending that decision, and on the strength of Clause 4.3(f)(ii) and (iv) of the U.P. Electricity Supply Code, 2005 (under which the applicant offered an undertaking) and the department's concession that its interest would then be safeguarded, the Court directed that if the petitioner gives an undertaking that the alleged outstanding dues of Venus Sugar Ltd. will be a first charge on the leased property, the department will sanction the new connection without prejudice to its pleas and contentions. The merits (identity of the premises; the department's asserted right of recovery against other properties of the defaulter) were left undecided, and the petition remains pending.

order of 31.5.2023

EVIDENCE “in case, the petitioner gives undertaking to the effect that the alleged outstanding dues of Venus Sugar Ltd. will be first charge on the property leased out to the petitioner, the respondent electricity department will sanction new electricity connection to the petitioner without prejudice to its pleas and contentions herein” order of 31.5.2023

EVIDENCE “as provided under Clause 4.3 (f) (ii) and (iv) of the U.P. Electricity Supply Code, 2005, the petitioner is ready to give undertaking that the dues of lessor will be a charge on the property” order of 31.5.2023

FLAG Order-sheet matter with no printed page numbers or numbered paragraphs (pin_basis=date). Interim order only; matter pending before successive Division Benches, last listed 16.5.2024. Premises-identity and feeder/estimate issues are undecided.

PRINCIPLE TAGS

arrears-bar-is-premises-specific Petitioner's contention that the leased premises is separate and distinct from the premises against which the lessor's dues are claimed, so the arrears bar cannot attach — framed by the Court as the moot question, left for decision. order of 31.5.2023

arrears-follow-premises-not-person-fresh-connection-vs-transfer New connection to a lessee refused for the lessor's dues on the same premises; interim release ordered on an undertaking pending decision on premises identity. order of 31.5.2023

new-connection-released-on-undertaking-dues-as-first-charge Pending decision, the new connection is released on the applicant's undertaking that the prior consumer's disputed dues be a first charge on the property, without prejudice to the licensee. order of 31.5.2023

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE PREMISES LEASED TO THE PETITIONER IS THE SAME AS, OR SEPARATE AND DISTINCT FROM, THE PREMISES AGAINST WHICH VENUS SUGAR LTD.'S ELECTRICITY DUES ARE CLAIMED

Framed by the Court as the 'moot question', to be decided on the pleadings; posted for decision on 10.7.2023 but not yet decided. Petition pending. order of 31.5.2023

NOT DECIDED — WHETHER THE ELECTRICITY DEPARTMENT CAN CLAIM A RIGHT OF RECOVERY AGAINST OTHER PROPERTIES OF THE DEFAULTER-COMPANY

Raised on 24.5.2023; the department was granted time to clarify; not adjudicated. order of 24.5.2023

NOT DECIDED — WHETHER A LOAD SANCTION ORDER MUST BE ISSUED (WITH TERMS MADE KNOWN) BEFORE THE DEPARTMENT PROVIDES A CONNECTION ESTIMATE; AND THE RURAL VS URBAN/INDEPENDENT FEEDER COST DISPUTE

Raised on 22.11.2023 and 16.5.2024 (estimates of Rs.19,32,259 and Rs.1,80,46,414 for an independent feeder); the department sought time to explain non-issuance of the sanction order despite alleged compliance with the 31.5.2023 condition; not decided. orders of 22.11.2023 & 16.5.2024

SCJ-006 — Directly on point: the arrears bar is premises-specific — the petitioner's core contention that the leased premises is distinct from the dues premises.

SCJ-225 — Clause 4.3(f) new connection; arrears follow the premises, with the fresh-connection vs transfer distinction engaged here.

SCJ-229 — Arrears follow premises not person; fresh connection to a new occupant distinguished from transfer of an existing one.

SCJ-005 — Clause 4.3(f) governing a new connection where previous dues are outstanding against the premises.

SCJ-2211 · M.P. Singh Foundation v. State of U.P. & Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.